CAPHE Case Studies · Program Impact

Multi-Year Trend Splits Separate Ongoing Workforce Growth From Projected State-Law Benefit Jumps

Separating steady yearly payroll growth from modeled level and slope shifts after state paid-leave laws.

When evaluating a statewide Paid Family Leave pay increase without a multi-year base trend, a one-year review mixes routine yearly claim growth into the first-year policy jump. In California Paid Family Leave, multi-year trend modeling projects **+39,600 added yearly claims** and **+$623.7M per year in gross outlays** from a 12-week plan while reserves rebuild to **30.4% ($6.37B) by 2030.**[1] Raw year-to-year spending checks mix that policy jump with **+$1.635B** in routine wage and workforce growth (325,055 to 330,000 base claims and $1,090 to $1,165 weekly pay).[2] Tracking both the Year-1 level shift and the 5-year reserve slope keeps payroll tax rates steady.[3]

Table 1. Multi-Year Trend Splits Across California SDI/PFL Paths (2025 to 2030)

Observed 2025 EDD actuals paired with modeled 2026-to-2030 base and expansion fund paths.

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Time-Series Measure	Projected Base Trend With No New Law	Expected Jump Expected 12-Wk Plan	Low Bound Low-Bound 12-Wk Plan	Stress Test Full-Use 100% Cap
2025 Onset Fund Balance**	**$2.88B bal** 18.1% ratio	**$2.28B bal** 13.8% ratio	**$2.48B bal** 15.2% ratio	**$1.03B bal** 5.8% ratio
2026 Claims & Added Outlay**	**330,000** $0.0M jump	**369,600** +$623.7M/yr	**346,500** +$417.8M/yr	**396,000** +$1,910.0M/yr
2026 Level Shift in Balance**	**$3.19B** 18.2% ratio	**$1.96B** 10.8% ratio	**$2.36B** 13.2% ratio	**-$0.58B** -3.0% deficit

Time-Series Measure	Projected Base Trend With No New Law	Expected Jump Expected 12-Wk Plan	Low Bound Low-Bound 12-Wk Plan	Stress Test Full-Use 100% Cap
2028 Rebuilding Slope**	**$6.23B** 32.6% > floor	**$3.69B** 18.7% rebuilding	**$4.53B** 23.1% near floor	**-$1.53B** -7.2% deficit
2030 Year-6 Fund Balance**	**$10.29B** 50.7% ratio	**$6.37B** 30.4% > floor	**$7.67B** 36.9% > floor	**-$1.70B** -7.6% deficit
6-Year Outlay & Tax Rate**	**$0.00B** 1.300% base rate	**$4.013B | 1.345%** +0.045 pp	**$2.688B | 1.330%** +0.030 pp	**$12.286B | 1.439%** +0.139 pp

Table 1 Notes & * Modeled Estimates Expand notes

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Column Scope. Trend With No New Law. 8-Wk Base (Post-SB 951). **Expected 12-Wk Plan.** 35% Take-Up | 12% New Claims. **Low-Bound 12-Wk Plan.** 25% Take-Up | 5% New Claims. **Full-Use 100% Cap.** 100% Take-Up | 20% New Claims.
Two-Ruler Benchmark Summary. Mode A 2026-2030 Projections on Observed EDD Baselines (2025 Actuals as Inputs). Ruler 1: Base Trend Growth (No New 2026 Law): **+4,945 Claims | +$1.635B SDI**. Observed inputs are 2025 EDD actuals, and 2026 values are Mode A base projections. Workforce growth (**+1.52%** in yearly claims to **330,000**) and wage growth (weekly pay from **$1,090 to $1,165**, +6.88%) lift projected SDI payouts from **$15.892B to $17.527B (+$1.635B)** with no new law. Ruler 2: Mode A 12-Week Level Jump (Expected 35% Case): **+39,600 Claims | +$623.7M Modeled**. Subtracting the base slope leaves the modeled 12-week jump: **+39,600** added yearly claims (to **369,600**) and **+$623.7M/yr** in gross outlay. The projected 2026 reserve ratio dips from **18.2% to 10.8%** (**$1.96B** balance) before rebuilding to **30.4% ($6.37B)** by 2030.

Table 2. Stacked State Laws, Slope Rules & Forecast Fit

How multi-year trend models separate stacked California paid-leave laws across 2024, 2025, and 2026.

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Choice Factor	Trend With No New Law	Expected 12-Wk Plan	Low-Bound 12-Wk Plan	Full-Use 100% Cap
Base Slope & Policy Shift Driver	Wage growth lifts weekly pay +6.88%/yr while the uncapped	A 12-week plan drops the 2026 balance by -$1.23B, then	Lower take-up softens the 2026 dip to $2.36B and	A 100% take-u stress test swa both the 2026

Choice Factor	Trend With No New Law	Expected 12-Wk Plan	Low-Bound 12-Wk Plan	Full-Use 100% Cap
	$1,371.5B wage base grows faster.	rebuilds at +$1.1B/yr through 2030.	clears the 25% floor in 2029.	balance and th 2030 slope.
What Level-and-Slope Splits Add	A base slope separates +$1.635B in routine wage and claim growth from any new law.	The slope term shows the post-2024 rebuild to 30.4% that a 2026 snapshot omits.	Separate markers for the 2024 tax-cap repeal and 2025 90% pay tier keep tax and payout shifts distinct.	Modeling the p 2024 uncappe tax base on its slope captures reserve rebuild speed.
Budget Tradeoff	Under the 8-week base, the 1.30% tax builds a $10.29B balance by 2030.	Funding the $4.013B 6-year plan delays hitting the 25% floor from 2028 to 2030 without a +0.045 pp shift.	Even at 25% take-up, the fund takes 3 years to cross the 25% floor in 2029.	Guarding agair the 100% cap requires rate-setting rules up to 1.439% i claims surge.
Best-Fit Forecast Rule	**Detrend Wage & Claim Slopes First** Model the +1.52% claim slope and +6.88% weekly wage growth before scoring any new leave bill.	**Track Both 2026 Dip & 2030 Slope** Pair the 12-week plan with a +0.045 pp tax shift or phase rollout along the rebuild slope.	**Split 2024 Tax & 2025 Pay Laws** Use separate step markers for the Jan 2024 wage-cap repeal and Jan 2025 90% pay tier.	**Add UIC § 984 Reserve Trigg** Tie automatic payroll tax step ups to the 25% EDD reserve fl to guard again cap deficits.

Table 2 Notes: Stacked SB 951 Dates & Claim Mix Expand notes

• **Stacked State-Law Timeline (Law Dates vs. Mode A Projections):** Senate Bill 951 set two state-law shifts. First, on **January 1, 2024**, it repealed the SDI wage tax cap, taxing 100% of covered wages ($1,371.5B in 2026). Second, on **January 1, 2025**, it raised pay replacement to 90% for low-wage workers. The level and slope paths shown here are Mode A projections.
• **Claim Mix:** Across the EDD Paid Family Leave Monthly Series, infant bonding makes up **89.0%** of PFL claims (293,700 of 330,000 in 2026). Family care makes up **10.0%**, and military assist makes up **1.0%**.
• **Extended Cell Context. Base Slope & Policy Shift Driver (Trend With No New Law).** Wage growth lifts weekly pay +6.88%/yr ($1,090 to $1,165) while the uncapped $1,371.5B wage base grows faster. · **Budget Tradeoff (Low-Bound 12-Wk Plan).** Even at 25% take-up ($2.688B over 6 yrs), the fund takes 3 years to cross the 25% floor in 2029. · **Budget Tradeoff (Full-Use 100% Cap).** Guarding against the 100% cap requires rate-setting rules (UIC § 984) up to 1.439% if claims surge.

Data Sources, Model Inputs, Notes & Endnotes (Numbered endnotes [1]–[5], state data sources & math rules) Expand details

Case Study Focus: Program Impact · Multi-Year Trend Splits & Base Slopes (Mode A on Observed EDD Baselines)

Numbered Endnotes & Main Sources

[1]California EDD Paid Family Leave & SDI Actuals and Forecast (2025-2026): California EDD May 2026 Disability Insurance Fund Forecast (325,055 actual 2025 PFL claims, $1,090 weekly pay, $15.892B SDI payouts; projected 2026 base of 330,000 claims, $1,165 weekly pay, and $17.527B SDI payouts).
[2]State-Law Shifts Under SB 951 & 12-Week Plans: California Senate Bill 951 (UIC § 3300 & § 984) and CAPHE California PFL Simulator (+39,600 added yearly claims to 369,600 and +$623.7M/yr gross outlay above the base slope).
[3]Multi-Year Reserve Path (2025-2030): Projected yearly SDI fund balance at 35% take-up dips from 18.2% ($3.19B) to 10.8% ($1.96B) in 2026, then rebuilds to 30.4% ($6.37B, above the 25.0% floor) by 2030.
[4]EDD Paid Family Leave Monthly Data Series (July 2004 to Feb 2026)
[5]California Legislative Analyst's Office (LAO) Fiscal Outlooks

Why Multi-Year Trend Splits Track Both the Year-1 Dip and the 5-Year Slope

When a state passes a law like Senate Bill 951, every covered worker in California enters the new rule on the same day. Because there is no unexposed part of the state, analysts use a multi-year trend model (Multi-Year Trend Split, or ITS) across historical and forecast series. A simple two-year check cannot split policy from trend when wages, worker counts, and tax bases are already climbing.
Splitting the base slope (+1.52% claim growth, +6.88% weekly wage growth, and the post-2024 uncapped tax slope that lifts base reserves from 18.1% to 50.7%) from the modeled 12-week jump (+39,600 claims, +$623.7M/yr outlay) clarifies the budget choice. A 1-year view in 2026 shows the reserve ratio dipping to 10.8% ($1.96B balance). Yet the post-shift slope through 2030 shows the uncapped wage base rebuilding the fund to $6.37B (30.4%, above EDD's 25% floor) without going negative.

Mode Classification (Mode A Projections on Observed EDD Baselines): Year 2025 figures (325,055 PFL claims, $1,090.00 weekly pay, $15.892B SDI payouts, $3.011B fund balance, 18.9% reserve ratio) are observed EDD actuals. Years 2026 to 2030 base and expansion series, including the level-and-slope split, are Mode A projections from /public/tools/pfl-simulator/data/pfl_model_data.json anchored to the EDD May 2026 DI Fund Forecast.

Primary Data Sources: California EDD Disability Insurance (DI) Fund Forecast (May 2026 Report), EDD Paid Family Leave Monthly Data Series (July 2004 to Feb 2026), California Unemployment Insurance Code §§ 984 & 3300 (SB 951), and California Legislative Analyst's Office (LAO) Fiscal Outlooks.

Common Questions & Method Notes

How does a multi-year trend model (ITS) differ from a simple before-and-after check?

A simple before-and-after check subtracts one pre-policy year from one post-policy year and mixes ongoing growth with the policy shift. A multi-year trend model tracks the pre-policy base slope (+1.52% claim growth and +6.88% wage growth) and measures both the Year-1 jump and the post-policy slope.

Why does the California SDI reserve ratio rise from 18.1% in 2025 to 50.7% by 2030 in the base forecast?

SB 951 removed the wage tax cap on SDI employee taxes starting January 1, 2024 (taxing all wages across a $1,371.5B base). Weekly benefit payouts stay capped ($1,765/wk in 2026), so base tax revenue grows faster than base payouts.

What happens to the SDI fund reserve under the Expected 12-week PFL plan?

In 2026, the +$623.7M outlay lowers the reserve ratio to 10.8% ($1.96B vs. $3.19B base). The post-SB 951 tax slope then rebuilds the fund balance each year, reaching $6.37B (30.4% reserve ratio, above EDD's 25% floor) by 2030.

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